

2025 Sales Rules

1. 2025 Direct to Home Sales Season

The Direct to Home Sales Representative (Rep) is paid on a commission model for funded installs made during the sales season. The 2025 sales season starts Sept. 30th, 2024, and ends Sep 28th, 2025. Preseason starts Sept. 30th, 2024, and ends April 13th, 2025. The summer season starts April 14th, 2025, and ends Aug. 30th, 2025. Extension starts Sept 1st, 2025, and ends Sep 28th, 2025.

2. Office Assignments

Each office will have a designated Area Director. The Area Director must be declared to the Commissions team, reppay@vivint.com by May 1st, 2025. Preseason offices may be linked to a summer office, offices on the year-round pay scale cannot be linked to a summer office. The declaration must be made by May 1st, 2025.

3. Commission

Commissions and overrides are calculated by multiplying Payable Recurring Monthly Revenue (**PRMR**) by the earned commission or override rate. The commission or override rate is based on the total Families Protected Plus (**FP+**) sold and funded in the sales season. **FP+** is the sum of funded new installs (including panel activations), plus the PRMR from funded upgrades sold in the season divided by 85 (upgrades/upsells/addons only count toward FP+ if they are sold > 90 days after the initial activation date), plus the number of DTH leads closed by NIS multiplied by 0.5 (if the customer gave consent).



Effective 2/3/2025 reps are paid \$4 per dollar of funded PRMR upfront [\$4 x PRMR] (prior to 2/3/2025 reps are paid \$340 upfront per EFP), and the remainder of the total commission is reconciled on the backend. The rep must complete the summer season to earn the accelerated commission rate above \$4. A rep is considered a Rookie if they didn't sell 10 or more FPs in a prior season (excluding extension in the 2024 season). Reps will achieve an Experienced Pay Level by re-signing and selling 2 FP+ by 12/31/24, or installing the following FP+ before 4/13/25: Rookie 3 FP+, Sophomore 7 FP+, and Veteran 10 FP+ (the rep must complete the summer season).

PRMR: PRMR is calculated by taking the Customer Monthly Payment, minus exclusions, plus the applicable PRMR adders, and minus the applicable PRMR Reductions on the account.



Customer Monthly Payment: The Customer Monthly Payment will match what the customer is paying monthly for the Vivint service fee and their hardware payment. The Exclusions will then remove items that are not included in the customer payment and normalize the equipment for a 60-month loan.

Exclusions: The following are excluded from the Customer Payment; i) LOC interest (if applicable), ii) taxes, iii) cell network maintenance fee, iv) Vivint Protection Plan, and v) remove install fees if the rep collects less than \$199. The Exclusions will also normalize the equipment to a 60-month loan. The following is how the equipment adjustment is calculated:

Pay-in-Full - the total equipment purchased and installed excluding taxes divided by 60 will be added in the exclusion section

36-month LOC - the monthly equipment payment will be adjusted down to be what the monthly payment would be if the equipment was financed over 60 months.

Pay-in-Four - the monthly equipment payment will be adjusted down to be what the monthly payment would be if the equipment was financed over 60 months.

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PRMR Adders: PRMR will be increased for the following:

- **\$1799.99 Premium Kit:** Accounts will receive a \$2 PRMR adder when sold as a \$1,799.99 Premium Kit.
- **Financed Install Fee Adder:**

Financed Install Fee	Adder	PRMR (Install Fee / 60)	Total PRMR Impact
\$0 *	(\$10.00)	\$0.00	(\$10.00)
\$199	\$0.00	\$3.32	\$3.32
\$299	\$0.50	\$4.98	\$5.48
\$399	\$1.00	\$6.65	\$7.65

- **Upfront Install Fee Adder:**

Upfront Install Fee	Adder	PRMR (Install Fee / 60)	Total PRMR Impact
\$0 *	(\$10.00)	\$0.00	(\$10.00)
\$199	\$1.00	\$3.32	\$4.32
\$299	\$3.00	\$4.98	\$7.98
\$399	\$5.00	\$6.65	\$11.65

* The Install fee can be waived without a deduction on the following accounts: PIF, accounts with an upfront payment collected $\geq$ \$250, or Pay-in-Four Accounts

- **Upfront Payment:** When a rep collects an upfront payment from a customer either in the form of a PIF or a down payment the following adder will apply.

Upfront Payment	Adder
\$200 - \$499.99	\$5.00
\$500 - \$999.99	\$10.00
\$1,000 - \$1,999.99	\$15.00
\$2,000 - \$2,999.99	\$20.00
\$3,000 - \$3,999.99	\$25.00
> \$4,000	\$30.00

* The install fee can be waived without a deduction when the amount collected upfront is $\geq$ \$250

* The first month of Vivint service can be waived without a deduction when the amount collected upfront is $>$ \$800.

* The upfront payment adder **DOES NOT** apply on the following accounts: Customers with a 3rd-look offer, Pay-in-Four Accounts, and upgrades.

- **Protection Plan Service:** The Vivint Protection Plan service fee is **NOT** included in the PRMR, but the following PRMR adder will be added for the protection plan sold by the rep if the protection plan service is still being paid as of the January backend freeze.

Protection Plan	Adder
VPP (\$7.99)	\$3.00
VPP Mobile (\$27.99)	\$10.00
VPP Mobile+ (\$32.99)	\$12.00

PRMR Reductions: PRMR will be reduced for the following:

- **< \$1,799.99 Kit:** Accounts will receive a \$5 PRMR reduction when the starter kit is less than \$1,799.99 excluding 1) DIY accounts, 2) PIF accounts, 3) accounts with an APR greater than 0.0%, 4) accounts that have a credit limit less than \$4,000, or 5) accounts with at least \$3,000 of equipment installed by the sales rep.
- **Low RMR Account:** When the base service fee is discounted below \$24.99 on the premium kit or \$44.99 on a $<$ \$1,799.99 kit, a PRMR reduction equal to \$2 per dollar discount will be applied to the account.
*Example: \$5 monthly discount * 2 = \$10 PRMR reduction.*
- **Deduction Accounts:** The following accounts will have a \$20 RMR reduction to the Payable RMR: 1) financed accounts with a credit score less than 650, 2) Smart Start/DIY, 3) PIF accounts with a credit score less than 600 (if no prescreen is ran on PIF the deduction doesn't apply).
- **3rd Look:** Accounts financed under the 3rd look program will have a \$35 PRMR reduction. These accounts will require a

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down payment equal to 25% (minimum of \$250) of the final hardware purchased (before taxes). If the down payment is not collected or manipulated the account will be unfunded or placed on hold. 3rd look accounts that do not require a down payment will not have the 3rd look deduction. However, if the credit score is below 650, they will be charged as a deduction account (\$20). If the account has a RIC exception it will not have the 3rd Look PRMR reduction. Only rookies will be paid upfront commission payments on 3rd look accounts. Otherwise, funded 3rd look accounts will be paid on the backend.

**3rd look down payment do not qualify for the upfront payment adder*

- **PI4 (Paid in 4):** **Effective 2/3/2025** paid in 4 accounts will only be paid upfront if the customer has a credit score ≥ 600 .
- **Hardware Discounts:** When a hardware/installation fee discount is applied to an account, a PRMR reduction equal to the discount amount divided by 15 will be applied to the account.
Example: \$300 hardware discount / 15 = \$20 PRMR reduction.
- **Moves:** If a new account moves before the second backend, a \$35 RMR reduction will be applied to the Payable RMR. Smart Start/DIY accounts are excluded from this deduction.
- **Panel Activations:** These accounts are treated the same as a normal account from a pay perspective. (Paid as new installs and can be financed).
- **NIS Leads:** NIS leads closed by a DTH rep within 45 days of the lead creation date will have a \$10 PRMR deduction (**Effective 2/3/2025**).

Account Deductions: The following accounts will have a deduction:

- **Waived Service Fee:** If a rep waives the first month of Vivint service, the rep will be deducted the full cost of the waived monthly service unless the account pays in full on a > 600 credit PIF or has an upfront payment $> \$800$. If reps waive additional months, then they will be charged the cost of the free months provided to the customer.
**Excluding 3rd Look accounts with a required down payment*
- **NRG Discount:** When a 6-month \$20 monthly credit is applied for all cross-sell and bundle initiatives with NRG, a \$40 flat rate charge will be applied to the rep's commissions. When a 3-month \$10 credit is given on upgrades, the rep is charged a \$10 flat deduction.
- **Promised Credits:** Reps will cover 100% of any other promised credits.
Criteria for submitting a credit: Credits may only be applied to New Sales or Upgrade Renewals. Equipment upgrades on accounts done as a PIF, PIP or adding to the line of credit are not eligible for promised credits.
 - The customer must be up to date on their billing and must have paid at least one full month of service.
 - There is a limit of covering 3 reoccurring months of service in full at any one time for an account.
 - 3-month credits will not be eligible for submission after Aug 1st
 - Only the first month can be waived on Pay-in-Four accounts
- **Customer Gift Card:** Reps can issue a customer a gift card up to \$300 and the rep will be charged 100% of the cost. Gift cards are not available on Pay-in-Four accounts.

4. Upgrade Commissions

The rep and leadership will be paid their commission/override rate on the Upgrade PRMR / 85 (Install fee rules and upfront pay adders as stated in Section 3 do not apply).

PRMR Upgrade Renewals: Renewal in which the customer resigns the PSA and repeats a pre-install survey.

Upgrade PRMR: New RMR minus the Base Service Fee.

New RMR: The customers new RMR excluding taxes, interest, fees, and the financed upgrade install fee.

Base Service Fee: Is equal to the customers' previous RMR before taxes and fees multiplied by 75% (minimum of \$44.99 or 75% of the old RMR, whichever is higher). If the customer's previous RMR is less than \$44.99 then the upgrade PRMR will be calculated by taking the new RMR (including equipment) minus their old RMR.



Reps will be paid \$4 multiplied by the PRMR in the week following the installation. The remaining service commission will be paid on the backend based on the rep's final pay level. Upfront upgrade commissions will be clawed back on the backend if the upgrade goes unfunded. In addition to the funding rules in section 10, if an upgrade customer moves before the January backend the upgrade account will not have a move deduction but instead will be unfunded.

PRMR Upgrade Addons: Upgrade which does not require the customer to sign a new agreement. Addons only contribute to the FP+ levels if it is installed 90+ days after the original installation.
(Upgrade equipment / 60) + Camera service fees added in the upgrade = PRMR

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5. DTH & NIS Lead Program

Leads from Vivint / NIS will be treated based on the chart below:

Category	Lead from NIS and closed/installed by DTH	DTH Credit Run & NIS Close/Install
New Subscriber Credit	DTH	NIS
DTH Commission	(\$10.00) PRMR Deduction <i>(Applies to leads < 45 days old)</i>	*50% of PRMR (\$25. PRMR Min.) <i>(If customer consent is captured)</i>
DTH Growth	Yes	*0.5 FP+ <i>(If customer consent is captured)</i>
DTH Levels	Yes	*0.5 FP+ <i>(If customer consent is captured)</i>

*12 months following the credit run. DTH rep must be active at the time of backend for credit and compensation.

6. Leadership Bonuses

The Leader will qualify for the assistant manager and manager bonuses based on the production of their team and/or management (MGMT) group as defined in the system. The team and MGMT group structures will be based on what is displayed in the Curator hierarchy reports as of May 15th, 2025.

- **Assistant Manager Bonus** — a leader will earn the Assistant Manager Bonus if their team or MGMT group funds 300 FP+ (a minimum of 100 FP+ MUST come from rookies). If the leader installs 5 or more personal FP+ in the preseason the criteria will be 285 total FP+ and 95 rookie FP+ for the 2025 sales season.
- **Manager Bonus** — a leader will earn the Manager Bonus if their team or MGMT group funds 500 FP+ (a minimum of 200 FP+ MUST come from Rookies). If a leader has a team but not a MGMT group, they can earn the Manager bonus if (1) their team funds 500 FP+ (a minimum of 200 FP+ must come from rookies) AND (2) the MGMT group they are under has 1,000 FP+ and 400 FP+ from rookies. If the leader installs 10 or more personal FP+ in the preseason the criteria will be 475 total FP+ and 190 rookie FP+ for the 2025 sales season.

7. Leadership Override Growth Calculation

The leadership override pay scales have a growth component. The year-over-year growth calculation is based on the management group/PTR's funded FP+ from the prior season.

The prior season baseline is calculated on FP+:

- The prior season FP+ from every rep that was in your downline in the current season.
- The prior season FP+ from every rep that sold with your downline in the prior season but did not return to Vivint for the current season and sell an account in the current season.
- The Team and MGMT group structure will be frozen on May 15th, 2025. Any Reps recruited after May 15th, 2025, will stay in the Team and MGMT group in which they are on-boarded.

The growth rate for the October backend will be calculated using the prior season January frozen data. The growth rate for the January backend will be calculated using the prior season January frozen data.

NOTE: For the 2025 season if the following new tools do not result in more than 3% subscriber growth Vivint will adjust the override experienced FP+ pay levels by the delta: i) Pay-in-Four, ii) Entry Security, iii) NIS leads, and iv) NIS closing DTH leads. We will calculate the YOY growth from these accounts as follows: $(((2025 \text{ Pay-in-four} + 2025 \text{ 3}^{\text{rd}} \text{ Look accounts} - 2024 \text{ 3}^{\text{rd}} \text{ Look} - 2024 \text{ Pay-in-Four}) + \text{Entry Security} + \text{NIS Leads closed by DTH Summer reps} + \text{NIS closed leads from DTH summer Reps}) / \text{Total 2024 FP+})$.

The growth is based on the highest entity in the MGMT group leader's name. For example, if the leader has a MGMT group and a Sr. MGMT group then the growth rate will be based on the YOY growth of the Sr. MGMT Group.

8. Solar Setter Payments

The setter and leadership commission for an installed solar account resulting from a lead set through Amigo or Street Genie will be half of the Total Commissionable Revenue (TCR). The Setter will be paid 50% of the available TCR unless otherwise explicitly authorized. $(\text{TCR} * 50\% * 50\%)$.

Setter Payments: The commissions will be paid in two transactions to the Setter. The first transaction is a commission advance paid once the submitted lead converts to site survey complete, or permit submitted, whichever is first. A setter is auto "opted-out"

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for this advance. Upon being opted in, they can receive the advance in the amount of either \$250 or \$500. The commissions at install will be paid through the Vivint commissions process. For Setters in teams where the manager specifies a different Setter split amount, the setter could be paid more than the standard 50%. Those amounts can range between 50-70% of available TCR.

- Example payment when the manager hasn't specified a % TCR above 50%. If the Amigo setter is given a commission advance of \$500 or \$250, this will be charged back from the rep if the account goes Stagnant, is put On-Hold, or Cancels. When the sale reaches Install Funded the remaining commissions will be paid to the Amigo setter through the Vivint commissions process. This amount is determined as $(TCR) \times (50\%) \times (50\%)$. If the original commission advance has not been clawed back, this advance will be clawed back at the time of install pay. This will be auto calculated for you at time of funding and paid out on the Tuesday after the week of Install Funded.
- Example payment of when the manager has a specified a % of TCR above 50%. Same as above, except this amount is determined as $(TCR) \times (50\%) \times (\text{Specified amount between 60\% or 70\%})$.

9. Contract Buyouts

A rep can approve a contract buyout for the customer through Street Genie. If the rep approves a contract buyout the customer will receive a link to claim their buyout for up to \$1,500. The buyout payment will not exceed the customer contract buyout payment to their prior service provider. Reps will be deducted for 100% of the contract buyout amount over \$1,000. If the rep promises to cover the full buyout, regardless of the amount, and the full buyout results in an amount above the approved limit (\$1000 or \$1500) then the rep will cover the full buyout.

If the buyout is less than \$2,000 and the rep does not have commissions to cover the buyout, Vivint will place a non-payable hold on the account and Vivint will cover the customer's buyout. If the buyout is not administered correctly by the rep, there will be financial penalties, which are outlined in a formal published program and part of the training curriculum.

If the customer's buyout exceeds \$2,000 and the rep is not willing to cover the buyout, Vivint will cancel the customer's contract. If the sales rep approves a contract buyout, they will have the following PRMR reduction and commission deduction even if the customer does not claim the gift card. The commission impact will be based on the service discount applied to the customer's account.

***Effective 2/3/2024 the P14 Front Door and Outdoor Protect packages are not allowed to have a buyout. If a buyout is submitted the account will be unfunded and the rep will be charged for the buyout.**

Premium Kit: (assuming \$59.99 starting price)

Smart Home Service	PRMR Reduction	Flat Deduction*
\$59.99 - \$44.99	(\$0)	(\$0)
\$44.98 - \$39.99	(\$5)	(\$0)
\$39.98 - \$34.99	(\$10)	(\$50)
\$34.98 - \$29.99	(\$15)	(\$100)
\$29.98 - \$19.99	(\$20)	(\$150)

Non-Premium Kit: (assuming \$59.99 starting price)

Smart Home Service	PRMR Reduction	Flat Deduction*
\$59.99	(\$0)	(\$0)
\$59.98 - \$54.99	(\$10)	(\$50)
\$54.98 - \$49.99	(\$15)	(\$100)
\$49.98 - \$39.99	(\$20)	(\$150)

- If a customer cancels within their ROR period and the gift card is NOT shipped, then the rep will NOT be charged the flat deduction.

Doorbell Exchange: Reps can choose to offer the customer a \$200 prepaid visa gift card if they mail their current video doorbell back to Vivint. Reps will be deducted 50% of the value on the prepaid gift card sent to the customer on a weekly basis until the deduction has been covered.

10. Account Funding Rules & Attrition

Accounts will be considered unfunded as of the backend freeze date, according to the following criteria:

- Cancelled accounts

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- Past due accounts (Balance due is greater than or equal to the monthly service fee for more than 30 days)
- Accounts with a regional or executive approved special exception (funded on the January backend if the other criteria are met)
- Accounts with a non-payable hold
- Accounts that are at least one month old and have \$0 in collected payments (Ghost Accounts)
- A PIF account that has not covered the full balance of the initial equipment purchase
- All other special exceptions (unfunded until the January backend)
- 3rd Look accounts where the customer did not pay the full required down payment/or it was unlawfully altered. The down payment will be 25% of the equipment value with a minimum of \$250

11. Arbitration*

Sales credit is awarded based on payment taken (first month service RMR where allowed) unless one of the below criteria is met. The sale must be within last 30 days to be eligible for arbitration. If a sales rep receives credit through arbitration, they also accept all discounts in the final package, even if granted by another channel.

- 7 Day Rule - Commissions are paid in both channels if credit is run in one channel or there is a system logged note or callback, and the sale is closed in another channel within 7 days. The DTH Rep will be given the sales credit but will receive a \$100 deduction to cover the NIS commission.
 - Credit run is defined as a prequalification credit check
 - Not applicable on NIS leads given to DTH (i.e. both channels pursuer these leads and first to close gets full credit)
 - For DTH-to-DTH arbitrations, credit can only change from a wiling manager to rep (not lateral or upstream), before the preinstall survey, and the receiving rep must have proper licensing. If there is a dispute about who earned DTH credit, Arbitration will apply the 7-day rule to award full sales credit. After 7 days, credit is given to rep who closed the sale (survey, payment, install WO)
- Rep Mention - If a customer specifically mentions working with a DTH rep while communicating with NIS, and the customer does not indicate the interaction was > 7 days ago, then both NIS and DTH will be paid and the DTH will retain credit. They will receive a \$100 deduction to cover the NIS commission. If a new customer is referred by a customer whose original sales office is DTH within 14 days of install, then the credit will go to the original customer's sales rep.
- 14-day rule - If an installation falls off the schedule, the DTH rep must wait 14 days to schedule a new install and change the sales credit. This applies if the customer cancelled natively and is not coached to wait/cancel (which will protect sale for 6 months for the original channel).
 - This includes passing LOC applications, completed V-Sign on a PIF, preinstall surveys, or scheduled install WO when payment has been taken.
- Sales involving a channel partner are protected for original 4 days from account creation date (Credit Ran date) – Pramerica and ACN are exceptions
- Technician Referrals & Upsells – Being the first to submit the referral in Amigo or the Tech Referral phone number, prior to any other channel creating an account in Salesforce, earns credit for the technician subject to the 14-day rule. Once the tech is dispatched, anything that is added (not swapped) is the tech's credit unless the tech notifies arbitration it should be in the sales rep's name.

All Arbitration requests should be sent to accountarbitration@vivint.com. The AC Arbitration team cannot approve any exceptions to this policy. Only the Sales Arbitration Committee (DTH, NIS, Retail) can overrule an arbitration decision. The committee meets on Thursdays and will send out final decisions through email.

**Per Arbitration Policy 5/02/2024*

12. RIC Residual– Retail Installment Contracts

If a customer refuses to pay with a debit card or ACH, Vivint will finance the account via a retail installment contract. In these cases, the rep and leadership will not be paid upfront, and all commissions will be paid residually following the January / February backend being complete.

Required Residual Compensation Plan for RICs ("RRC") The commission and leadership bonuses on RIC accounts will be paid residually. Any deductions on RIC accounts will be applied to the backend to be deducted; ROR deductions, attrition deductions, waived first month deductions, split arbitration deductions, and charity. Note the FP+ on all RIC accounts will count towards pay levels.

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Calculation of the RIC Residual Amount Payable – For all RIC accounts the residual commission will be calculated for all commissions associated with the account. The amount of the commission will be calculated after the January/February Backend process is completed and will be based on the sales level achieved during the 2025 sales period. The first residual override payment will occur after the January/February Backend process is completed and will include a catch-up for all amounts due for accounts installed prior to the January/February Backend.

Reps on the Year Round pay scale will have their RIC residual calculated after the January/February Backend. It will be based on the weekly rate that the rep earned for the week that the account was installed. Note the FP+ on all RIC accounts will count towards the weekly pay levels for reps that are on the year round pay scale.

Personal RIC residual (8.4 FP+ @ \$630)	\$	5,292	
Conversion Factor:		42	
Gross Commission Residual	\$	126.00	(\$5,292 / 42)
Funded RIC FP+		8.4	
Commission Residual Rate per FP+	\$	15.00	(\$630 / 42)
Initial Commission Residual Income	\$	126.00	(\$15 * 8.4)

Required Override Residual Compensation Plan (“RORCP”) The override, Rookie Bonus, and Attendance Bonus on RIC accounts will be paid residually. Any deductions on RIC accounts will be applied to the backend to be deducted, ROR deductions, attrition deductions, digital marketing deductions, charity, etc. Note the FP+ on all RIC accounts will count towards pay levels.

Calculation of the Override Residual Amount Payable – For all RIC accounts the residual overrides will be calculated for all overrides associated with the account. The amount of override will be calculated after the January/February Backend process is completed and will be based on the sales level achieved during the 2025 Sales Season. The first residual override payment will occur after the January/February Backend process is completed and will include a catch-up for all amounts due for accounts installed prior to the January/February Backend. Sales management can assign a percentage of their override residual to individual reps.

Reps receiving overrides on accounts installed on the Year Round pay scale will have their RIC residual calculated after the January/February Backend. It will be based on the override rate that is on the pay scale and the leader that it was assigned to when the account was installed. Sales management DOES NOT have the ability to assign a percentage of their override residual to individual reps. This is due to the assignment was locked in at the time of install.

Override RIC residual (23.5 FP+ @ \$84)	\$	1,974	
Conversion Factor:		42	
Gross Commission Residual	\$	47.00	(\$1,974 / 42)
Funded RIC FP+		23.5	
Commission Residual Rate per FP+	\$	2.00	(\$84 / 42)
Initial Commission Residual Income	\$	47.00	(\$2.00 * 23.5)

Catch-up Payment - Calculate the initial catch-up residual payment by multiplying the Commission Residual Rate per FP+ divided by 30 multiplied the PRMR divided by 85 of the account multiplied by the number of days since the account was installed. This will be paid after the January/February Backend has been completely processed.

13. Tenured Pay Scale

To qualify for the tenured pay level the rep must have the following: i) complete 5 seasons with 10 or more accounts prior to the current season and ii) a minimum of 100 FP+ installed in the current season. If the rep earns the tenured pay level the rep will be paid on the equivalent pay level on the 2025 pay scale. **The pay level will be calculated by using the reps highest funded account season out of their completed seasons as their pay level (Funded accounts are taken from the second backend of the sales season).** The leader bonuses must be earned based on their 2025 production. You cannot be on a pro-rated pay scale and tenured pay scale at the same time. The experienced pay levels for the 2025 season don't apply to this.

14. Rep Assist Functionality

If a rookie participates in the rep assist functionality the rookie that received the assistance will receive the upfront \$4 per dollar of funded PRMR but the account will not count towards their pay level. The rep that assisted in the sale will not be paid upfront on the account, it will be added to their pay level and be paid the full commissions on the account on the backend less a \$4 per PRMR deduction.

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15. Commission Timing

Upfront Commission: Based on an account installed in the previous week. Accounts that cancel during the previous week will be deducted from the upfront pay. Reps that are in Vivint housing will be charged rent on a weekly basis during the Summer Season. Amount is dependent on the Rep's pay scale and the FP+ level earned during the 2025 summer sales season.

Backend Commission: The first backend will be paid on or before November 30 and be based on Preseason and Summer funded accounts at 100% levels as of the September data freeze. The payment will be 70% of the deposit amount. The second backend will be paid on or before February 28 and will include the Extension accounts and be based on the January data freeze. The amount paid will be 100% of the deposit amount. The backend commission amount assumes that the Rep qualifies for a Full Year Bonus, by completing the summer sales season. In the event the Rep fails to qualify for this bonus, the Base Service Commission will be \$4 per dollar of funded PRMR.

16. Other Refunds and Offsets

As a condition to receiving commissions and other benefits under these Sales Rules, Rep understands and acknowledges that to the extent permitted by applicable law, Smart Home Pros, Inc. or its applicable parent or subsidiary companies (collectively, the "Company") will be entitled to seek a refund (through offset or direct repayment) of (i) any compensation paid to Rep that the Company later determines was not earned by or otherwise due to Rep, and (ii) any other amounts owed by Rep to the Company. Rep expressly authorizes the Company to deduct those amounts contemplated herein from any amounts owing to Rep, including Rep's paycheck (which includes any backend compensation). Rep further expressly agrees and authorizes that operational costs and expenses advanced on Rep's behalf shall be deducted from Rep's commissions.

17. Housing (Rent & Utilities)

Housing will be provided for a rep in the Direct to Home summer sales program that have an account installed in the preseason. Housing charges vary depending on a rep's needs. Rent will begin to accrue on the start date the rep confirms with the Housing department or the day the rep arrives to the area (whichever is first). A rep will not accrue rent after the end date they confirm or the day they leave the area (whichever is last). Rent and utilities are deducted weekly from the rep's upfront pay. Cleaning fees and other one-time fees are deducted from backend pay. Housing is not provided for year-round sales. Refer to the housing policy for a detailed explanation of the housing policy (the housing policy will be sent out prior to summer start).

Housing	Weekly Charge		One-time Cleaning
	Rent Charge	Utilities Charge	
Single – Shared Room	(\$175)	(\$25)	(\$75)
Single – Own Room	(\$350)	(\$35)	(\$75)
Married/Family Housing - 1 bedroom	(\$375)	(\$40)	(\$125)
Married/Family Housing - 2 bedroom	(\$400)	(\$40)	(\$125)
Married/Family Housing - 3 bedroom	(\$425)	(\$40)	(\$125)

Any additional charges incurred to Vivint Housing (i.e., failure to get reps licensed, submitting licensing application after deadline, additional background check processing times [due to past criminal history], unapproved moves, not assigning area in time, etc.) will be charged back to the budget of the partner.

18. Company Provided Devices

Each rep will have the option to use a company provided iPad. Each rep is responsible for keeping track of and maintaining the iPad(s) in its proper working order. If the iPad(s) is(are) not returned in its original condition, (normal wear and tear excepted) immediately upon the termination of employment, or in the event the iPad(s) is(are) missing or damaged, the rep may be required to reimburse the company \$450.

19. Incentives and Training

Travel Money - To be paid travel money, Reps must complete ALL mandatory training, as well as pass corresponding tests, AND have a funded install in their summer market. After all conditions are satisfied, the Rep will receive a bonus for travel money less monies paid for their training. The amount will be based on the location of the summer office. The travel bonus is paid after approval from the Sales Manager. Travel money is only paid to reps who travel to and sell in a summer market.

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Office Incentive Money - The manager will receive \$50 per rep per month during the summer season to pay for incentives. Year-round sales offices that are not involved in the summer program are not eligible.

Driver Money - Reps who drive with three other Reps in their vehicle receive \$0.67 per mile. The mileage must be tracked through Street Genie by the car group driver. Driver money is only paid on reps in the summer program. Driver money is paid out weekly to the car driver. This mileage reimbursement policy is intended to compensate car group drivers for the cost of using their personal car including gas, insurance, and wear and tear on the vehicle.

Who is eligible for reimbursement?

- DTH Sales Reps that are assigned as car group drivers in Street Genie and drive with three other reps in their vehicle
- Sales Reps in the Summer Program

What travel is reimbursable under this policy?

Car Group drivers are eligible for reimbursement for required business travel, which includes:

- Travel from hotel/apartment to correlation meeting **only if** the car group members require travel assistance to the meeting.
- Travel with the car group members from correlation meeting to territory drop offs. Mileage tracking ends when the car group driver arrives at their assigned territory.
- Travel from the car group driver's assigned territory to pick up the car group members from their assigned territories. Mileage tracking ends upon return to the office or hotel/apartment, whichever location the car group members must be dropped off.
- Travel to and from an assigned territory to a preset appointment with a customer.

The following travel is not required and not reimbursable under this policy:

- If the car group driver is not driving other car group members to correlation meetings, this is considered a normal commute and is not reimbursable.
- Traveling from assigned territory to get lunch or take a break.
- Traveling to and from the gym.
- Traveling to and from a team activity.
- Running a personal errand.
- Any miles outside of required business travel.

What is the mileage reimbursement amount and how is it tracked and paid?

- Car group drivers are eligible to receive \$0.67 per mile for required business travel, up to 175 miles. *
- Mileage must be tracked in Street Genie by the car group driver.
- Tracked mileage reimbursement is automatically paid out weekly to the car group driver for miles drive Monday – Sunday the week prior.

** In states that require reimbursement (CA, IL, MA), manager approval is needed to reimburse more than 175 miles per week.*

Misrepresenting required business travel miles may result in corrective action, up to and including termination.

Dinner goals - Each week during the summer season the office may receive a dinner goal. If the team meets the goal, they will receive \$20 per rep/partner for dinner. The money is paid to the Area Director. Year-round sales offices that are not involved in the summer program are not eligible.

Training Pay - Reps will receive pay for completing mandatory training. The amount will be based on the required training and the location of the summer office.

20. Prohibited Sales Conduct

Smart Home Pros (including all direct to home sales representatives, sales managers, area managers, regional managers, divisional managers, or other leaders) are required to abide by the Employee Handbook, Smart Home Pros Supplemental Code of Conduct, Code of Business Conduct and Ethics, Identity Theft Prevention Program "Red Flags" Policy, Customer Financing Policy and all other applicable policies, procedures, laws, and sales rules. Any violation of policy or law may subject the individual who commits the violation, and any individual who assists or facilitates such violation, may be subject to discipline, including without limitation forfeiture of commission, deductions, suspensions, liquidated damages and/or termination of employment.

Additionally, Smart Home Pros are prohibited from using—or engaging any third-party contractor to use—automated technology of any kind to contact consumers. Prohibited outreach methods include (but are not limited to) non- manual or autodialed telemarketing calls, mass text messaging campaigns, email blasts, ringless voicemails, and pre-recorded voice calls. Smart

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Home Pros are also prohibited from purchasing, generating, or utilizing “lead lists” of consumers that will be contacted using automated means. Any Smart Home Pro who engages in or facilitates an unauthorized marketing campaign using automated technology may be subject to discipline, including without limitation forfeiture of commission, deductions, suspensions, liquidated damages and/or termination of employment.

Compliance Violations: Leadership forfeits all overrides from the current season on terminated reps. On top of not earning any overrides, the below deductions apply for each substantiated tier 1 & tier 2 violations.

Compliance Deductions		
Overrides	Tier 1	Tier 2
VP	(\$1,000)	(\$500)
PTR	(\$1,500)	(\$750)
Area Director	(\$1,200)	(\$600)
Mgmt. Group	(\$1,500)	(\$750)

21. Attrition Deduction

The attrition deduction will be applied to personal sales and overrides based on the annualized attrition of the sales rep or downline of the applicable override (i.e. MGMT Group for the Manager Override, Office for the Area Director Override, Partnership downline for the Partnership override).

For the October backend, the attrition percentage will be calculated using actual attrition plus past due customers. For the January backend the attrition percentage will be based on annualized attrition.

Deduction per Canceled Account (Excluding ROR)				
Annualized Attrition %	Rep	Manager	Area Director	Partnership
< 6%	(\$0)	(\$0)	(\$0)	(\$0)
6%	(\$400)	(\$30)	(\$20)	(\$15)
8%	(\$500)	(\$50)	(\$30)	(\$17)
10%	(\$600)	(\$75)	(\$50)	(\$20)
12%	(\$800)	(\$100)	(\$70)	(\$50)

Reps with less than 17 FP+ or 5 attrition accounts are excluded. PIF, DIY, upgrades, ROR, 3rd look, and PI4 accounts are excluded from the calculation.

22. ROR Deductions

The ROR deduction will be applied to personal sales and overrides based on the actual ROR rate of the sales rep or downline of the applicable override (i.e., MGMT Group for the Manager Override, Office for the Area Director Override, Partnership downline for the Partnership override).

If the rep or leader is over the thresholds below, the deduction will be calculated per installed customer with a ROR.

If the rep's 2024 ROR percentage was over 8.5%, starting on installs on or after May 1st, there will be a \$50 upfront deduction for accounts that are installed and pulling within the ROR period. If the rep is under the 8.5% threshold, the deduction will be refunded to the rep on the backend.

There is a \$400 fine for all accounts where the rep adds an extended ROR that cancel except for 30-day RORs sold in the month of August.

Deduction per ROR Cancellation				
ROR %	Rep	Manager	Area Director	Partnership
< 8.5%	\$0	\$0	\$0	\$0
8.5%	(\$100)	(\$15)	(\$10)	(\$15)
10.5%	(\$150)	(\$17)	(\$12)	(\$17)
12.5%	(\$175)	(\$20)	(\$15)	(\$20)
15.5%	(\$200)	(\$25)	(\$20)	(\$25)

Reps with less than 17 FP+ or 5 ROR accounts are excluded. DIY, upgrades, and PI4 accts. are excluded from the calculation.

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23. NRG Lead Commission

When rep passes a lead to NRG for energy and that lead yields flow the following will be paid.

Energy Term Plan		
Level	12-24 Months	36-60 Months
Sales Rep	\$185	\$220
Mgmt. Leader	\$15	\$20
Area Director	\$10	\$15
Partner	\$10	\$10

24. Digital Recruiting Deductions

When a leader receives a recruit from the Digital Recruiting program the following deductions apply.

Summer Program			
Level	Year 1	Year 2	Year 3
Area Director	(\$20)	(\$6)	(\$3)
Mgmt Leader	(\$25)	(\$10)	(\$4)
Partnership	(\$20)	(\$9)	(\$3)
Total:	(\$65)	(\$25)	(\$10)

Year-Round Program			
Level	Year 1	Year 2	Year 3
Team Lead	(\$13.00)	(\$5.00)	(\$2.00)
Mgmt Leader	(\$13.00)	(\$5.00)	(\$2.00)
Area Director	(\$13.00)	(\$5.00)	(\$2.00)
Sr. Manager	(\$6.50)	(\$2.50)	(\$1.00)
Regional	(\$6.50)	(\$2.50)	(\$1.00)
Sr. Regional	(\$6.50)	(\$2.50)	(\$1.00)
PTR	(\$6.50)	(\$2.50)	(\$1.00)
Total:	(\$65)	(\$25)	(\$10)

25. Equity Vesting Requirements

For the purposes of the Equity Incentive Awards under the Company's 2020 Omnibus Incentive Plan (the "2020 Plan"), the following definitions will be applied:

Accounts: For equity vesting that use the 2025 sales year as the performance period we will define an account as FP+ (gross installs minus ROR cancels).

- For the purposes of calculating **equity vesting** the smart energy accounts installed in conjunction with a solar account will count as 2 FP+ for Essentials, 3 FP+ for Essentials +, 4 FP+ for Premium, 5 FP+ for Premium Plus. Stand-alone solar will count as 1 FP+ if sold to an existing Vivint customer.
- For the purposes of calculating **equity grants** the smart energy accounts installed in conjunction with a solar account will count as 1.5 FP+ for Essentials, 2 FP+ for Essentials +, 2.5 FP+ for Premium, 3 FP+ for Premium Plus.

Downline will be defined as the accounts that report up to an individual in the systems hierarchy. Due to some limitations on the system's ability to track the full recruiting tree any exceptions to the system's downline must be approved by SVP DTH Sales or the Chief Revenue Officer. Any approval cannot count an account twice toward the vesting requirements for multiple leaders at the same level.